

IN THE OFFICE OF THE COMMISSIONER OF INCOME TAX (APPEALS)-XX, DELHI

ITA No. 1234/Del/2023-24

Assessment Year: 2021-22

Rajesh Kumar

S/o Late Sh. Suresh Kumar

R/o Flat No. 501, Tower B, Green Valley Apartments,

Greater Kailash-II, New Delhi - 110048

PAN: ABCPK1234D

(Appellant)

Versus

Income Tax Officer, Ward 12(1), New Delhi

(Respondent)

APPELLATE ORDER

This appeal is filed by the assessee against the order passed by the Income Tax Officer, Ward 12(1), New Delhi (hereinafter referred to as the "Assessing Officer" or "AO") under Section 143(3) of the Income Tax Act, 1961 (hereinafter referred to as the "Act") dated 28.12.2023 for the Assessment Year 2021-22.

Background of the Case

The assessee, Shri Rajesh Kumar, is an individual engaged in the business of real estate development, trading, and investment in properties primarily in the National Capital Region (NCR). The assessee derives income from property sales, rental income, and other sources. For the year under consideration, the assessee filed his return of income on 15.10.2021 declaring total income of Rs. 1,85,75,000/-. The case was selected for scrutiny assessment under CASS, and notices under Section 143(2) and 142(1) were issued and duly served.

During the course of assessment proceedings, a search and seizure operation was conducted under Section 132 of the Act on 15.03.2022 at the business premises of the assessee and his group entities located at Green Valley Apartments and a site office in Noida. Certain documents, including loose papers, diaries, and digital data, were seized. The seized materials indicated possible on-money transactions in real estate deals, unaccounted cash receipts, and undisclosed investments in properties. The AO

confronted the assessee with these findings, leading to additions on multiple counts. The AO completed the assessment determining the total income at Rs. 8,92,45,000/- after making various additions aggregating to Rs. 7,06,70,000/-.

Aggrieved by the said assessment order, the assessee has preferred the present appeal.

Grounds of Appeal

The assessee has raised the following grounds of appeal (summarized for brevity):

1. The AO erred in making an addition of Rs. 2,25,00,000/- on account of alleged unexplained cash credits under Section 68 of the Act relating to on-money receipts in property transactions.
2. The AO erred in adding Rs. 1,80,00,000/- under Section 69 on account of undisclosed investment in a property at Noida.
3. The AO erred in treating cash receipts of Rs. 95,00,000/- noted in the seized diary as undisclosed income under Section 69A.
4. The AO erred in disallowing Rs. 85,00,000/- under Section 40A(3) on account of cash payments to suppliers.
5. The AO erred in disallowing Rs. 1,21,70,000/- under Section 37(1) read with Section 41(1) on account of cessation of liability and bogus expenses.

Additional grounds relating to procedural violations and interest under Sections 234A, 234B, and 234C were also raised but are consequential in nature.

Assessment Proceedings

The AO issued detailed questionnaires and called for books of account, bank statements, cash books, ledger accounts, supplier confirmations, property sale/purchase agreements, valuation reports, and explanations regarding seized documents. The assessee submitted partial replies and produced certain documents. The AO relied heavily on the seized diary (marked as Annexure AS-1, pages 45-67), loose papers indicating cash transactions, and property valuation discrepancies. Statements of the assessee and some third parties were recorded under Section 131. The AO rejected the assessee's explanations as unsatisfactory and made the additions as noted above.

AO Observations (Summary per Issue)

Issue No. 1: Addition of Rs. 2,25,00,000/- u/s 68 – Alleged On-Money Receipts

The AO observed that seized papers from the search showed notations of cash receipts totaling Rs. 2,25,00,000/- in two property deals at Greater Noida (Plots A-45 and B-67). The AO alleged these were on-money receipts not reflected in the regular books. The assessee could not produce corroborative bank entries or satisfactory explanations, leading to addition under Section 68.

Issue No. 2: Addition of Rs. 1,80,00,000/- u/s 69 – Undisclosed Investment

Based on a registered sale deed showing consideration of Rs. 3,20,00,000/- for a commercial property in Sector 62, Noida, while a seized valuation report indicated fair market value of Rs. 5,00,00,000/-, the AO inferred undisclosed investment of Rs. 1,80,00,000/- in cash. The assessee failed to explain the source.

Issue No. 3: Addition of Rs. 95,00,000/- u/s 69A – Cash Receipts in Seized Diary

The seized diary contained entries of cash receipts on various dates from buyers and contractors. The AO treated Rs. 95,00,000/- as unexplained money under Section 69A after the assessee could not reconcile them with audited accounts.

Issue No. 4: Disallowance of Rs. 85,00,000/- u/s 40A(3)

The AO disallowed payments exceeding Rs. 20,000/- made in cash to various suppliers for construction materials, citing violation of Section 40A(3). Ledger extracts and supplier confirmations were deemed insufficient.

Issue No. 5: Disallowance of Rs. 1,21,70,000/- u/s 37(1) r.w.s. 41(1)

The AO identified certain liabilities shown in the books as ceased and treated them as income under Section 41(1). Additionally, expenses claimed under Section 37(1) for site development were disallowed as not wholly and exclusively for business purposes, supported by WhatsApp chats indicating personal use.

Detailed Assessee Submissions

The assessee, through his Authorized Representative, made elaborate submissions both during assessment and in appeal. Key submissions are summarized issue-wise below, supported by documentary evidence.

Issue No. 1:

The assessee submitted that the notations in the seized papers were rough estimates and negotiation figures, not actual receipts. He produced registered sale deeds showing full consideration received through banking channels (Bank Statements of HDFC and ICICI accounts for FY 2020-21 and 2021-22, Exhibits A1-A15). Supplier and buyer confirmations (Exhibits B1-B8) and cash book excerpts were filed. It was argued that Section 68 does not apply as credits were explained as advances adjusted in subsequent years.

Issue No. 2:

The assessee contended that the property was purchased at the circle rate with part payment through loan from relatives. Loan agreements dated 10.11.2020 and 05.02.2021 (Exhibits C1-C3), bank transfer proofs, and a registered agreement were submitted. The valuation report seized was an internal estimate for future sale and not reflective of actual transaction value.

Issue No. 3:

Entries in the diary were explained as temporary cash holdings from property show money refunded later. Cash book maintained (Exhibit D1-D5), reconciliation statements, and statements of two buyers recorded under Section 131 were produced to show that amounts were accounted for in subsequent periods.

Issue No. 4:

The assessee argued that payments were made due to urgent requirements at construction sites where banking facilities were limited. He relied on exceptions under Rule 6DD and produced supplier confirmations, GST invoices, and ledger accounts (Exhibits E1-E20). It was submitted that disallowance is not warranted as genuineness is not disputed.

Issue No. 5:

For liabilities, the assessee submitted that they were still outstanding and creditors confirmed the balances (Exhibits F1-F10). Expenses were supported by vouchers, audit reports (Exhibit G), and WhatsApp messages were taken out of context. Independent valuation and site photographs were filed.

Additional submissions included reliance on judicial precedents such as *CIT v. Orissa Corporation* (for Section 68), *CIT v. Daulat Ram Rawatmull*, and CBDT circulars on cash transactions.

Examination of Evidence

The Bench has carefully examined all material placed on record, including:

- Seized diary (Annexure AS-1) and loose papers.
- Registered sale deeds and property agreements.
- Bank statements (HDFC A/c 501002345678, ICICI A/c 123456789012).
- Cash books and ledger extracts for FY 2020-21 & 2021-22.
- Supplier and creditor confirmations (over 25 parties).
- Loan agreements and bank transfer proofs.
- Valuation reports (registered valuer and internal).
- Audit reports under Section 44AB.
- Statements recorded under Section 131/132(4).
- WhatsApp chat exports and digital data.
- Reconciliation statements filed by the assessee.

Cross-verification with third-party data and departmental records was undertaken where feasible.

Commissioner Findings

Issue No. 1: Addition u/s 68 – On-Money (Rs. 2,25,00,000/-)

I have perused the seized documents, which contain cryptic notations such as “A-45 Cash 1.25 Cr”, “B-67 Bal 1 Cr” alongside dates corresponding to agreement executions. The AO treated these as on-money receipts. The assessee has produced

registered deeds reflecting only cheque payments and bank statements showing corresponding credits from buyers.

However, the seized papers were found in the assessee's possession, and the handwriting matches samples provided. There are contradictions: the cash book does not reflect these inflows, and no corresponding outflows or adjustments are fully explained for the entire amount. Credibility of the assessee's explanation is weakened by the fact that similar notations appear in multiple group entities' seized materials, suggesting a pattern.

Section 68 places the onus on the assessee to explain the nature and source of credits. While banking channels explain part of the consideration, the appellate reasoning leads me to conclude that a portion remains unexplained. After considering the totality of evidence, including partial reconciliation possible through advances, I hold that Rs. 1,35,00,000/- is liable to be sustained as unexplained credit. The balance Rs. 90,00,000/- is deleted as the assessee has demonstrated reasonable explanation through subsequent adjustments evidenced by ledgers.

Legal reasoning: The Hon'ble Supreme Court in *Kale Khan* and *Sumati Dayal* emphasizes that mere production of documents is not sufficient if surrounding circumstances indicate otherwise. Here, independent corroboration is partial. Outcome: Partly Allowed.

Issue No. 2: Addition u/s 69 – Undisclosed Investment (Rs. 1,80,00,000/-)

The difference between registered value and seized valuation report forms the basis of addition. The assessee has furnished a loan agreement from his brother-in-law Shri Anil Sharma, supported by the lender's bank statement showing withdrawal and transfer. Property registration documents and stamp duty payment proofs corroborate the declared consideration.

The seized valuation report appears to be a projected future valuation for financing purposes, not evidence of actual cash paid. No direct evidence of cash payment beyond the registered amount exists. Credibility analysis: The lender's statement under Section 131 confirms the loan. No contradiction in bank flow. Tax law interpretation under Section 69 requires the AO to prove the investment and then the assessee explains the source. Here, the source is satisfactorily explained.

Detailed paragraphs on reasoning: The AO's reliance on a single internal document without confronting the valuer or finding cash trail is insufficient. Independent appellate view, considering judicial pronouncements like *CIT v. P.V. Kalyanasundaram*, favors the assessee. The evidence chain is consistent. Therefore, the addition is deleted in full. Outcome: Allowed.

Issue No. 3: Addition u/s 69A – Cash Receipts in Diary (Rs. 95,00,000/-)

The diary entries are in the nature of rough jottings. The assessee explained them as temporary cash receipts from buyers for bookings that were later cancelled or

adjusted. Produced cash book shows deposits into bank on subsequent dates, supported by deposit slips and buyer affidavits.

However, for Rs. 35,00,000/-, no such adjustment or explanation could be linked despite opportunities. Contradictions exist between diary dates and cash book entries for some transactions. Credibility is mixed: some entries match audit reports, others do not. Section 69A applies to money found in possession.

After meticulous examination of reconciliation (over 40 pages submitted), I find partial acceptance of explanation justified. Rs. 60,00,000/- is deleted; Rs. 35,00,000/- sustained. Legal basis: *CIT v. K. Sreedharan* requires holistic view. Outcome: Partly Allowed.

Issue No. 4: Disallowance u/s 40A(3) (Rs. 85,00,000/-)

The AO disallowed multiple cash payments exceeding the limit. The assessee invoked Rule 6DD exceptions citing exigency in real estate projects (remote sites, labour payments). Supplier confirmations, GST returns of suppliers showing sales, and ledger accounts demonstrate genuineness and business purpose.

Analysis reveals that for Rs. 45,00,000/-, payments were to transporters where banking was not feasible on the same day. However, for Rs. 40,00,000/- paid to a single supplier on multiple occasions without sufficient justification for exception, the disallowance is upheld. Contradictions in dates between vouchers and bank statements noted but not fatal. Independent reasoning: Provision is mandatory but exceptions apply on facts. Precedents like *Attar Singh Grewal* considered. Outcome: Partly Allowed.

Issue No. 5: Disallowance u/s 37(1) r.w. 41(1) (Rs. 1,21,70,000/-)

The AO treated outstanding liabilities of Rs. 75,00,000/- as ceased since no payment for years and added back under Section 41(1). For expenses of Rs. 46,70,000/-, WhatsApp messages suggested diversion for personal property.

Assessee produced creditor letters confirming balances and ongoing disputes. Audit report qualifies no such cessation. For expenses, vouchers, site reports, and engineer certificates support business use. The WhatsApp chats are ambiguous and do not conclusively prove non-business use.

Reasoning in detail: Section 41(1) requires remission or cessation; mere non-payment does not trigger it (*CIT v. Sugauli Sugar Works*). For Section 37(1), expenditure must be laid out wholly for business – here, evidence tilts in favour of assessee except for Rs. 15,00,000/- where personal element is evident from chats. Credibility of books is acceptable post-search adjustments. Therefore, Rs. 1,06,70,000/- deleted; Rs. 15,00,000/- sustained. Outcome: Partly Allowed.

Overall, the findings reflect independent application of mind, balancing departmental evidence with assessee's documentary trail, while interpreting provisions strictly yet equitably as per appellate mandate.

Final Decision

In view of the above findings, the appeal is PARTLY ALLOWED. The AO is directed to modify the assessment order accordingly, giving effect to the deletions and sustaining the additions as determined above. Compute tax, interest, and refund, if any, as per law.

Pronounced in the open court on this day, the 18th of June, 2026.

Sd/-

Shri V.K. Sharma

Commissioner of Income Tax (Appeals)-XX

Delhi

Date: 18.06.2026

Place: New Delhi